most sectors except manufacturing, which grew at just 1.3 per cent year on year. The financial, real estate and professional services recorded 7.1 per cent growth, and trade, hotels, transport, communication and broadcasting services 14 per cent. There's no big surprise here, since the services sector was the worst hit during the pandemic and was also the slowest to revive. But once on the road to revival, its growth in the past two quarters has been phenomenal, as all travel and tourism, retail and hospitality segments opened up fully to meet the pent-up demand. Meanwhile, construction grew 10 per cent and electricity, water supply and other utility services by 9 per cent.

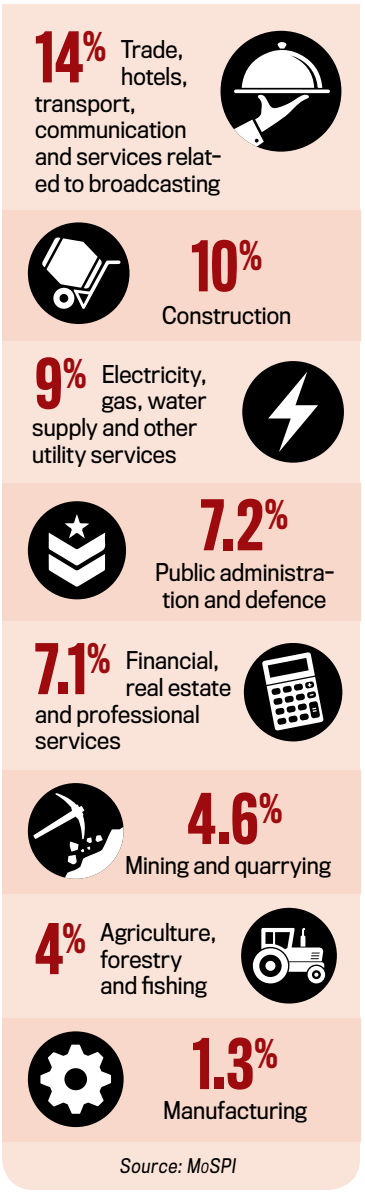
Does that mean the private sector has started investing in a big way? Some economists believe it has. "Investment activities, driven by the government's capex push, are at an all-time high," says Soumya Kanti Ghosh, group chief economic advisor, State Bank of India. "Led by the private sector... [new investments] touched an all-time high of Rs 37 lakh crore in FY23 as compared to Rs 20 lakh crore in FY22. The construction sector remained upbeat due to sustained impetus on infrastructure spending by the government."

Per a Crisil report, the Q4 growth was primarily driven by investment and net exports, with the latter less of a drag given rising exports and slowing imports. Meanwhile, manufacturing and agriculture growth improved on the supply side even as services growth remained strong. "The provisional estimate of 7.2 per cent comes on top of 9.1 cent expansion in [FY22]. This suggests strong growth momentum, which was propelled by domestic demand through the year, both from investment and private consumption," it noted. Investment's share rose to an 11-year high of 34 per cent of the GDP, while that of private consumption rose to an 18-year high of 58.5 per cent in FY23. The report, though, did not refer specifically to private investment.

HOW KEY SECTORS FARED IN FY23

(Year-on-Year Growth)

The sectors that drove India's 7.2% GDP growth in 2022-23, and those that lagged behind



Source: MoSPI

Meanwhile, 'secondary indicators of growth', such as credit growth of scheduled commercial banks, remained strong at 15.5 per cent as on May 5, says Ghosh. (The sector-wise data for April indicates that credit is 2.8 times higher than in April last year.) He adds that the credit-to-GDP gap has narrowed, which means that credit demand improved with a rise in capacity utilisation.

Is this growth sustainable? Opinion is divided. Per Ghosh, the overall economic strength stays intact despite some demand slowdown. "The rebalancing of demand from private consumption to investments supported by government capex needs further support," he says. "Private investment activity looks robust and domestic monetary and credit conditions remain supportive of growth in FY24." Total final consumption grew at 6.4 per cent in FY23, dragged down by rural consumption and inflation in the beginning of the year.

Meanwhile, on June 6, the World Bank lowered India's GDP growth outlook for FY24 from the 6.6 per cent it had forecast in January to 6.3 per cent. Reason: private consumption is constrained by high inflation and rising borrowing costs, it said. A BoB report is not as bullish about sustaining the growth either. The pent-up demand will not be as strong in the current year (FY24), it claims, and private sector investment needs to pick up further. "...the two engines that need to fire would face much more pressure, given that exports will not be contributing to growth this year. Therefore, under conditions of a global slowdown, maintaining growth at 6 per cent plus will be challenging," it notes. Critical to growth will be the monsoon, which will have a bearing on rural demand. BoB estimates FY24 will log between 6 and 6.5 per cent growth.

Another challenge in the current fiscal will be the impact of rate hikes that central banks across the world have resorted to over the past 15 months. These normally come with a lag. A Crisil report said that external demand is likely to be a bigger hindrance to growth. Although domestic demand will also weaken, hit by rising lending rates, softening inflation and government capex will offer support. Monsoon and El Nino risks remain a swing factor, it said. "Overall, we expect India's real GDP growth to slow to 6 per cent in [FY24]," it said. It means there is a need to keep pushing investment and creating ways to improve demand for the present growth momentum to continue. ■